

Olevel economics

Basic Economics

Topic:- Types of economic systems.

alpha



By:-

Zarak Mushtaq



Economic Systems

The three key questions

The economic problem creates three key questions about determining resource allocation:

What to produce? How to produce? For whom to produce?

What to produce? Decisions need to be taken about how an economy's resources are to be allocated. For example, how many resources should be devoted to education, how many to health care and how many to defence?

How to produce? Decisions need to be taken about how the products are to be produced. For example, is the production process going to use a relatively high proportion of labour relative to capital (this is known as labour intensive production) or is the production process going to use a relatively high proportion of capital relative to labour (this is known as capital intensive production).

For whom to produce? Decisions need to be taken about how the products produced are going to be distributed to people. For e.g. will the products be distributed according to need or according to income and ability to pay.

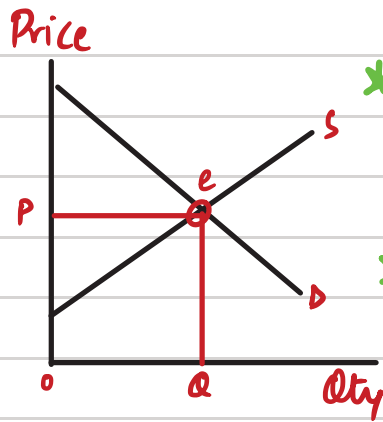
The private and public sectors

A market economy primarily involves the private sector, but there may also be public sector.

The private sector consists of small, medium and large firms that are independently owned. The main aim of these businesses is to make a profit. They respond to market signals that are indicated by consumers through the price mechanism.

The public sector consists of enterprises owned by the government. These will vary from one country to another, but in many countries rail services, bus services, oil gas and electricity industries and the central bank will be owned by the government. Government departments, such as the tax department, are also part of public sector.

Economic Systems

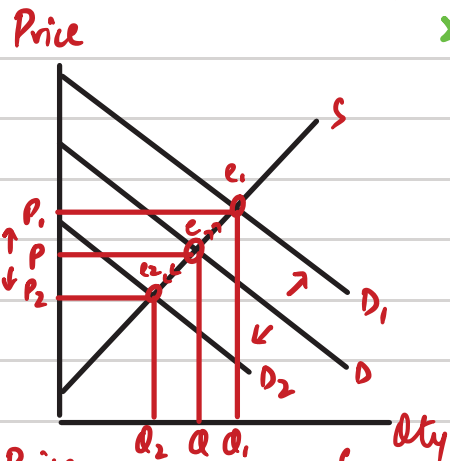


- * capital vs Labour substitution
- * Quick decision making

* What? How? For whom?

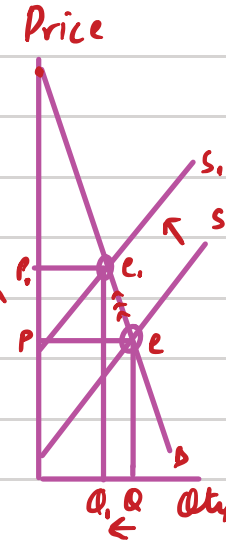
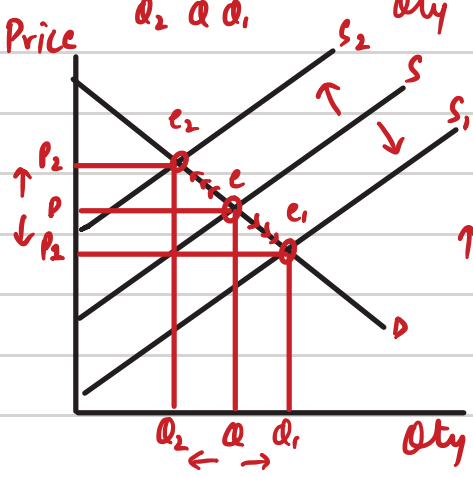
- * wants satisfied
- * profit motive (self interest)
 - ↳ [unemployment]
- * Price mechanism leads to market failure

- o Non-provision of public goods
- o Under allocation of merit goods
- o Over allocation of demerit goods
- o Abnormal profits of monopoly



- * No price control
- * Consumers
- * Demand = Supply
- * Price mechanism

Where prices are determined by forces of demand and supply and prices provide signal to the producer to allocate resources in profit maximizing manner!



* Markets

firms
[competition] → Merge → Inelastic demand
Innovation choices
Quality
Standard of living
↓
P↑ QD↓ TR↑
Abnormal Profits!

Advantages

- * A market economic system brings together the buyers and sellers of products
- * The price mechanism used in a market is an effective way of reallocating scarce resources from one use to another in response to the decisions taken by the producers and consumers. In fact, a key feature of a market economic system is the existence of consumer sovereignty.
- * Decision making is coordinated and efficient
- * In a market economic system, there will be competition between different producers, keeping prices relatively low and quality relatively high.
- * Consumers will have wide range of products to choose between.

Disadvantages

- * A market economic system may not always protect weaker members of society, such as the elderly or the poor.
- * The pursuit of profits by firms may be at the expense of the health and safety of workers and consumers or of environmental standards and ethical behaviour.
- * Decision making may be distorted by fashion or advertising.

Disadvantage (continues)

- * There will not necessarily be competition in all parts of market economic system; in some parts of the economy, there may be little or no competition, leaving firms to increase price and reduce quality.
- * There may be examples of market failure, such as over production and over consumption of demerit goods, the under production and under consumption of merit goods, and the non-provision of public goods.

Planned/command economy!

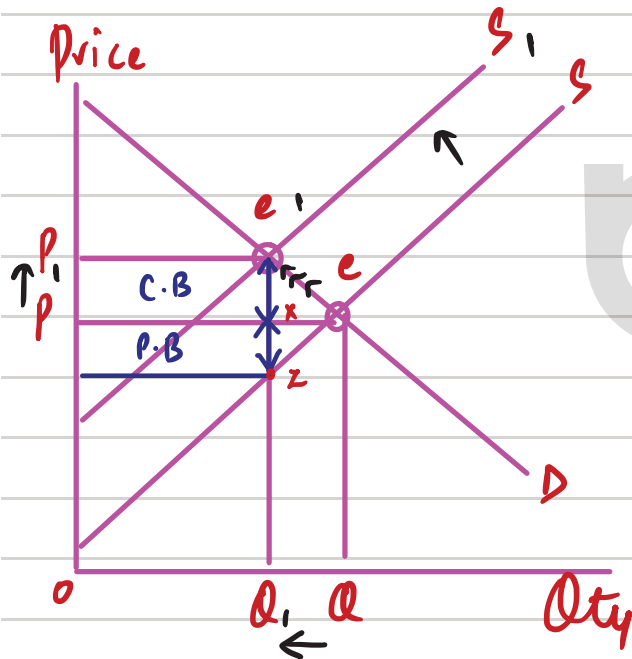
- * Owned and controlled by government
- * Objective:- social welfare
- * What! How? For whom?
- * Government provided those goods which government think that people need rather than what actually they wanted
- * Production targets were given
- * Quantity over Quality
- * Focus on resource allocation on the basis of needs
- * Distribution of goods were inefficient
- * Full employment was the aim
- * Consumers were dissatisfied due to limited choices
- * Delay in decision making

Mixed economy (Private and Public sector)

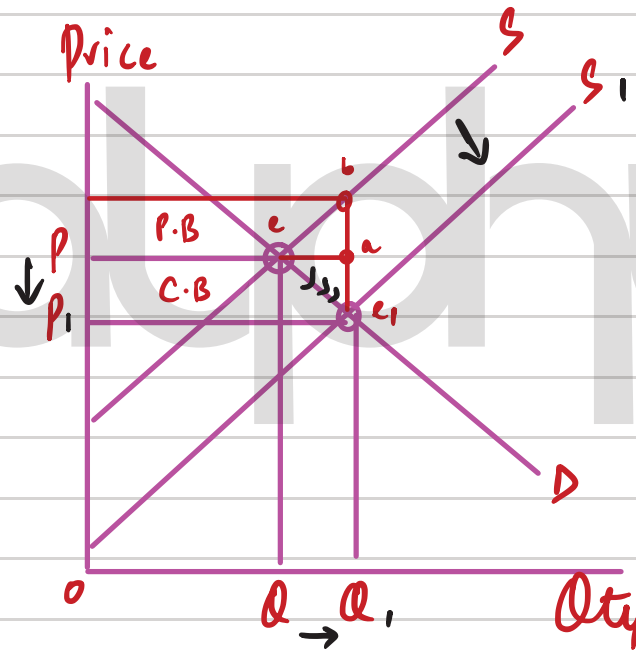
- * Non-provision of public goods - Sole control by government
- * Under allocation of merit goods - Subsidies, advertisement, State provision etc
- * Over allocation of demerit goods - Tax, advertisement, Ban etc
- * Abnormal profits of monopoly - Nationalize, regulations, Divide into perfect competition
- * Inflation - Maximum price
- * Unemployment - Public sector jobs

Diagrams for Mixed economy

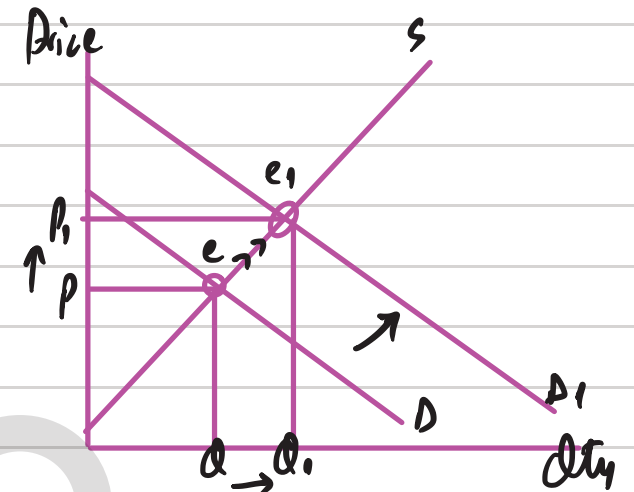
Indirect tax on demerit goods



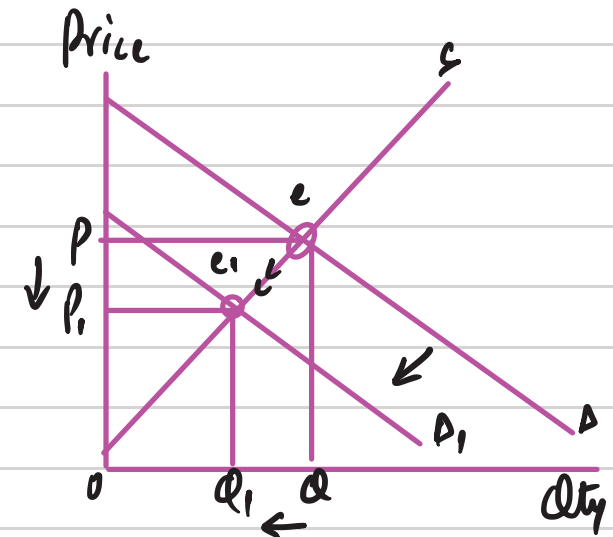
Subsidy on merit goods



Advertising → Merit goods



Advertising → Demerit goods



Questions

Marks:- 22

- Q1 Explain advantages and disadvantages of market economy? 8
- Q2 Explain the features of planned economy? 6
- Q3 Explain the features of mixed economy, use diagrams? 8
- Q4 Explain three economic questions? 8